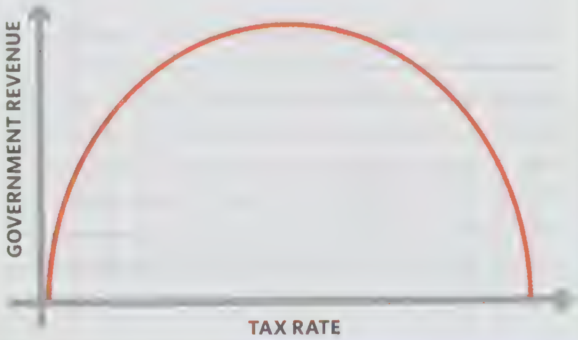
Unintended effects of tax

- Some US cities are assessing the tax by the ounce. This might encourage people to drink less.
- Consumers may turn to sugary untaxed drinks such as milkshakes and smoothies.
- The tax increase may hit poorer consumers harder, making it a regressive tax.
- Share prices and profits of drinks companies may fall, affecting government tax revenue.
- If businesses are affected, this may lead to the loss of jobs.
- In Mexico, a 10 percent tax on soft drinks has raised more than $2 billion since 2014, but sales have started to rise again after an initial drop.

THE LAFFER CURVE

The Laffer curve, named after US economist Arthur Laffer, illustrates the idea that there is an optimum level of taxation to maximize revenues. This is because at very high rates of taxation, more people will be looking to avoid or reduce the tax than will pay it. So, although tax revenues initially increase with rising tax rates, eventually they will decline. Controversy surrounds the idea because it is very hard to know where this optimum point might be and also because it would seem to legitimize non-payment of taxes by high net-worth individuals, and tax avoidance by ordinary people who start to participate in the "gray economy."



24%

estimated percentage of economic activity in Greece that went undeclared and untaxed in 2013